

Sustainability aware asset management

Lecture 12: Environment, Society, and Impact Investing

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Objectives of the Lecture

Some sustainable investors want to build a portfolio in accordance with their preferences. Others want to have an impact on environment and society.

This logic often distinguishes two categories of preferences

- **values-alignment preferences**: adoption of social norms, exclusion/best-in-class
- **impact-seeking preferences**: engagement with carbon intensive firm, investment in green start-ups

Some investors want to have a positive impact on environment and society, but their primary objective remains the financial performance (**invest with impact**).

Other investors have environment and society as the primary objective (**invest for impact**).

This lecture begins with details on environment and biodiversity issues and then focuses on impact investing.

- **Raworth, Kate** (2012), *A Safe and Just Space for Humanity*, Oxfam Working Paper
- **Raworth, Kate** (2017), *Doughnut Economics: Seven Ways to Think Like a 21st-Century Economist*
- **Richardson et al.** (2023), *Earth beyond six of nine planetary boundaries*
- **Schlesier et al.** (2024), *Measuring the Doughnut: A good life for all is possible within planetary boundaries*

Objectives of the Lecture

- **Environment and Society**
- Biodiversity
- Impact Investing

Environment and Society: Doughnut Representation

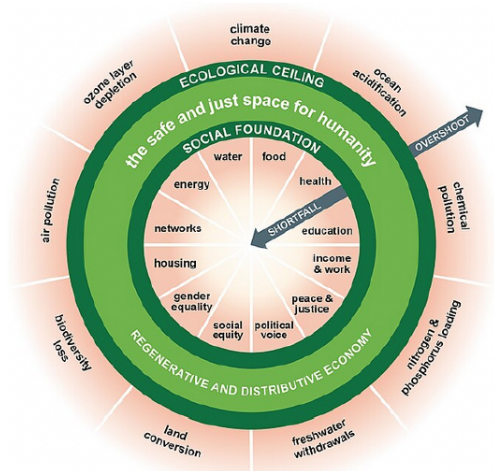
The Doughnut is a visual framework for sustainable development, combining the concept of *planetary boundaries* with the complementary concept of *social foundations*.

The diagram was elaborated by **Kate Raworth** (Oxfam paper “A Safe and Just Space for Humanity”, 2012, and book “Doughnut Economics: Seven Ways to Think Like a 21st-Century Economist”, 2017).

Ecological ceilings: Limits that humanity should not exceed to avoid detrimental effects on the planet.

Social foundations: Essential human needs, inspired by the social aims of the Sustainable Development Goals of the UN.

Space between the two rings is the **“safe and just space for humanity”**.



Planetary Boundaries

GHG emissions are only one facet of the environmental crisis.

Planetary Boundaries: Critical thresholds or limits of the Earth's biophysical subsystems, beyond which the risk of destabilization becomes significantly higher. Concept first put forward in 2009 by the Stockholm Resilience Centre and the Australian National University (Johan Rockström and Will Steffen).

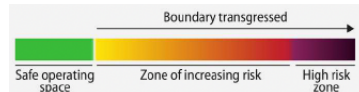
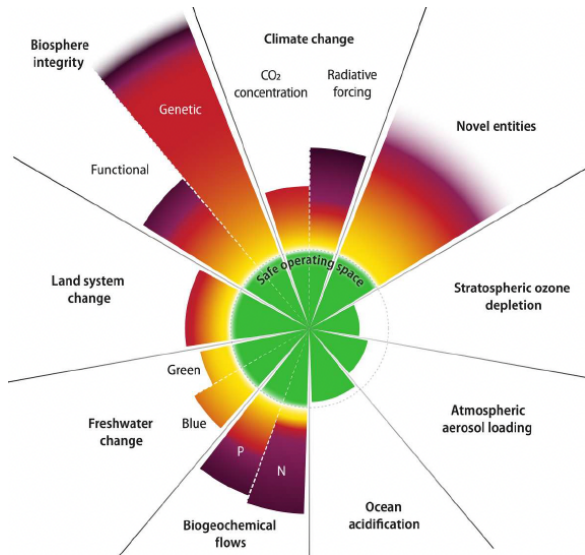
The Planetary Boundaries framework identifies 9 key Earth system processes and thresholds:

- ① **Climate Change:** Measured by the concentration of carbon dioxide in the atmosphere and the energy imbalance it causes on Earth.
- ② **Biodiversity integrity:** The rapid extinction of species and loss of biodiversity, which can undermine ecosystem resilience and functionality.
- ③ **Land System Change:** This includes deforestation and land-use changes that significantly impact biodiversity and ecosystem services.
- ④ **Freshwater Change:** Excessive use and pollution of freshwater resources that exceed sustainable levels.

Planetary Boundaries

- ⑤ **Biogeochemical Flows:** The disruption of biogeochemical cycles due to excessive use of nitrogen and phosphorus in agriculture, leading to problems like algal blooms and dead zones in water bodies.
- ⑥ **Ocean Acidification:** Caused by increased CO₂ levels, leading to changes in the chemistry of the oceans, which can harm marine life.
- ⑦ **Atmospheric Aerosol Loading:** The impact of microscopic particles in the atmosphere on climate and living organisms, which is less well understood.
- ⑧ **Stratospheric Ozone Depletion:** The thinning of the ozone layer due to certain chemicals, which increases harmful UV radiation reaching the Earth's surface.
- ⑨ **Novel Entities:** The introduction of novel entities (like plastics, heavy metals, and radioactive materials) into environments, which can have unknown or poorly understood impacts.

Planetary Boundaries



Source: Richardson et al. (2023), *Earth beyond six of nine planetary boundaries*

Planetary Boundaries

No	Earth process system	Control variable	m_{1750}	$m_{Boundary}$	m_{upper}	m_{2023}
1	Climate change	Atmospheric CO ₂ concentration (ppm CO ₂)	280	350	450	417
		Atmospheric radiative forcing (W/m ²)	0	1	1.5	2.91
2	Biodiversity loss	Genetic diversity (E/MSY)	1	10	100	>100
		Functional integrity (% HANPP)	1.9	10	20	30
3	Land-use change	Area of forested land (%) – global	100	75	54	60
		% area remaining – tropical	100	85	60	58.6
		% area remaining – temperate	100	50	30	41.1
		% area remaining – boreal	100	85	60	63.5
4	Freshwater change	Blue water (%)	9.4	10.2	50	18.2
		Green water (%)	9.8	11.1	50	15.8
5	Biogeochemical flows	Phosphate flow (Tg P/yr) – global	0	11	100	22.6
		Phosphate flow (Tg P/yr) – regional	0	6.2	11.2	17.5
		Nitrogen flow (Tg N/yr)	0	62	82	190
6	Ocean acidification	Carbonate ion concentration (Ω)	3.44	2.752	2.408	2.8
7	Atmospheric aerosol loading	Inter-hemispheric difference (AOD)	0.03	0.1	0.25	0.076
8	Stratospheric ozone depletion	Stratospheric O ₃ (Dobson Unit)	290	275.5	261	284.6
9	Novel entities	Synthetic chemicals (%)	0	0	NA	>0

Note: ppm = parts per million; Tg = Teragram; E/MSY = extinctions per million species-year; HANPP = Human Appropriation of Net Primary Production; Dobson unit: measure for the quantity of ozone in a vertical column of air through the atmosphere; Ω_{arag} : parameter that expresses the saturation state of aragonite in seawater; AOD = Aerosol Optical Depth. Source: Röckström et al. (2024), *Planetary Boundaries guide humanity's future on Earth*.

Social Foundations

The inner ring of the Doughnut denotes **social foundations**, below which lie shortfalls in essential human needs. Falling short of these foundations results in human deprivation.

Doughnut (Raworth, 2017)

- Food security
- Health
- Education
- Income and work
- Peace and justice
- Political voice
- Social equity
- Gender equality
- Housing
- Networks (communities, information)
- Energy
- Water

Decent Living Standards (Rao & Min, 2018)

- Physical wellbeing:
 - nutrition
 - shelter/housing
 - living conditions
 - clothing
 - healthcare
 - air quality
- Social wellbeing:
 - education
 - communication
 - information access
 - mobility
 - freedom

Requirement for Decent Living Standards

Universal	Decent living requirements		Per capita	
satisfier	Nr. dimension	Requirements	Value [LD, base, HD]	Unit
Nutrition	1a Food	Calories, proteins, micro-nutrients	[2000, 2250, 2500]	kcal/acap
	1b Cold storage	Refrigerator (100 L)	[0.2, 0.25, 0.33]	1/cap
	1c Cooking	Clean stove	[0.2, 0.25, 0.33]	1/cap
Water	2 Hygiene	Toilet	[0.2, 0.25, 0.33]	1/cap
		Water supply / disposal	[18.25, 21.17, 23.73]	m ³ /acap
Shelter	3a Building	Solid wall, roof, minim floor space	[10, 15, 30]	m ² /cap
	3b Final energy	Energy infrastructure	[676, 1093, 1512]	kWh/acap
Harmless living, working conditions	4a Light	Illumination	[73, 137, 243]	klmh/acap
	4b Comfort	Modern heating, cooling system	[0.2, 0.25, 0.33]	1/cap
		Clothes	[1.3, 2.6, 4]	kg/acap
	4c Clothing	Laundry	[59, 78, 98]	kg/acap
		Shoes	[0.45, 0.9, 1.35]	kg/acap
Healthcare	5 Healthcare	Area of healthcare facility	[0.25, 0.41, 0.57]	m ² /cap
Education, information, relationships	6a School	Equipped schools	[1, 2, 3]	m ² /cap
	6b Access to inform	TV / laptop, internet	[0.2, 0.25, 0.33]	1/cap
	6c Communication	Teleph./smartph., ICT infrastruct.	[0.2, 0.56, 0.93]	1/cap
Participation	7a Freedom of express.	Public space	[0.28, 0.84, 1.39]	m ² /cap
	7b Mobility	Motorized transport, infrastructure	[5000, 8527, 15000]	pkm/a

Size of the Doughnut

Schlesier et al. (2024) measure the size of the Doughnut: Is it possible to achieve decent living standards while remaining below planetary boundaries? (“safe and just operating space”)

In 2025, 7 of 9 planetary boundaries had been violated.

- The energy, metal, and chemical sectors contributed most of the climate impacts and were responsible for more than 40% of biodiversity impacts.
- Reducing consumption to sufficiency levels for all without transforming provisioning systems cuts impacts on all boundaries roughly in half.
- Sufficiency alone is insufficient to navigate into the “Doughnut”, as the climate change, biodiversity and nitrogen boundaries are still transgressed.
- The provisioning systems must be transformed in addition to reduced consumption:
 - replacing all fossil energy inputs with renewable energy (reduce climate impact but increase land use)
 - low sufficiency demand (vegan diet) provided with fossil-free energy, no cropland expansion and wooden buildings achieves a decent life within planetary boundaries with 73% probability with a population of 10.4 bn (81% with population of 8 bn).

Objectives of the Lecture

- Environment and Society
- **Biodiversity**
- Impact Investing

Society is dependent on the services provided by nature

Ecosystemic services: services provided by nature, necessary for the functioning of our society. It is all the contributions of nature that affect us directly. These services are generally classified into four categories, each of which includes various sub-services.

1. Provisioning Services

Products from ecosystems: supply services, often the subject of a market exchange.

- Surface water
- Groundwater
- Raw materials
- Biomass for fuel

2. Regulation Services

Capacity of ecosystems to regulate phenomena (climate, water cycle). Generally, not appropriable.

- Climate regulation
- Water quality
- Maintaining water flows
- Erosion Control
- Filtration

3. Cultural Services

Recreational, aesthetic, spiritual, or educational uses.

- Tourism
- Education and science
- Spirituality and religion

4. Support Services

Basis of other services, creating fundamental conditions for life (soil formation, oxygen production, etc.). Differ from the other services because they do not have a direct impact on humans

Source: <https://www.ipbes.net/global-assessment>

Five direct causes of biodiversity loss

Our lifestyles have a direct impact on biodiversity. The recent IPBES report identified five direct causes of more than 90% of biodiversity loss. Biodiversity loss is the consequence of other planetary boundaries being exceeded.

Direct cause	Explanation	%
Use of land and sea	Artificialization and conversion of natural environments (forests, coastlines, habitats) for agricultural and urban purposes.	30%
Direct exploitation of natural resources	Overexploitation: extraction rate higher than natural regeneration rate.	23%
Climate change	Disruption of water cycle, temperature increase, soil drying, more frequent extremes affecting biodiversity.	14%
Pollution	Hazardous substances (e.g. pesticides) and macro-waste (e.g. plastics) deteriorate ecosystems.	14%
Invasive species	Invasive alien species alter balances; can cause decline or extinction of native species.	11%

Source: <https://www.ipbes.net/global-assessment>

The basic levels of biodiversity

Biodiversity refers to all living beings and the ecosystems in which they live. This term also includes the interactions of species with each other and with their environments. Biodiversity has three fundamental levels.

① Ecosystem diversity

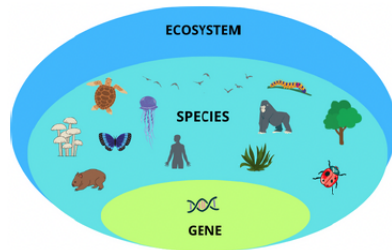
Variety of ecosystems; includes biotic (plants, animals, microorganisms) and abiotic (water, climate, soil) elements.

② Species diversity

Diversity of living species; richer biodiversity helps cope with disturbances.

③ Genetic diversity

Variety of genes within a species; increases survival probability in the face of biodiversity loss.



Biodiversity: Indicators

- **Ecosystem Indicators:**

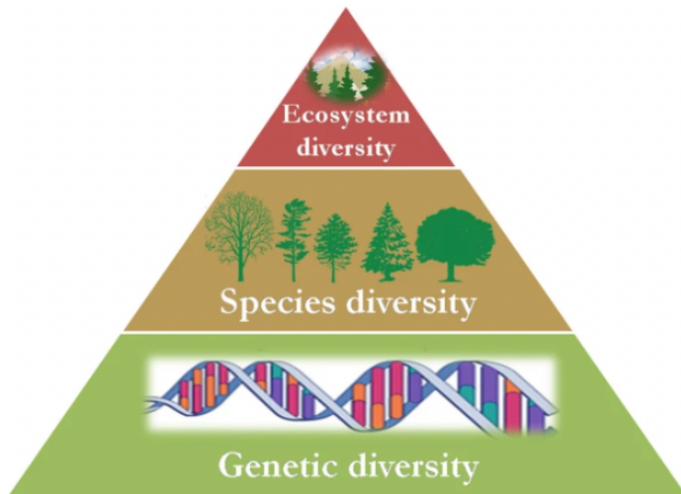
assess habitat extent
and condition

- **Species Indicators:**

focus on population
trends and species
diversity

- **Genetic Indicators:**

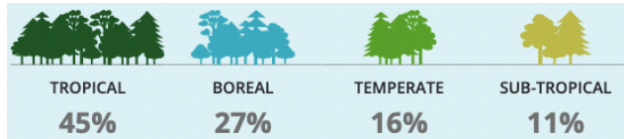
measure diversity
within species
populations



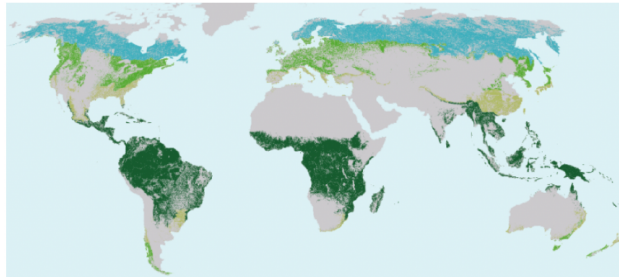
Biodiversity: Ecosystem-Level Indicators

1. Forest Area as a Percentage of Total Land Area

- Monitors habitat loss and deforestation trends
- Linked to climate change and biodiversity loss



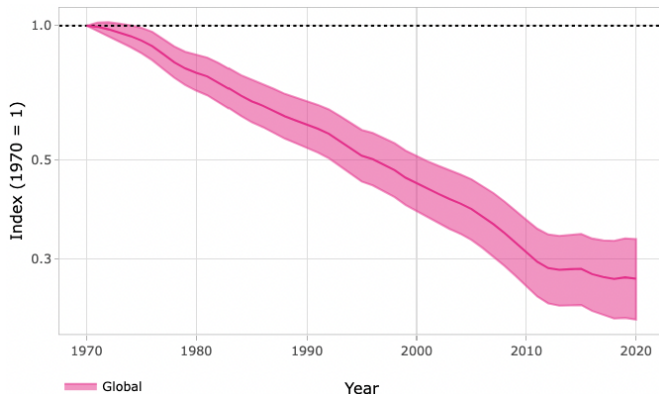
Total forest area of 4.06 billion hectares, 31% of the total land area.



<https://fra-data.fao.org/assessments/fra/2020>

2. Living Planet Index (LPI)

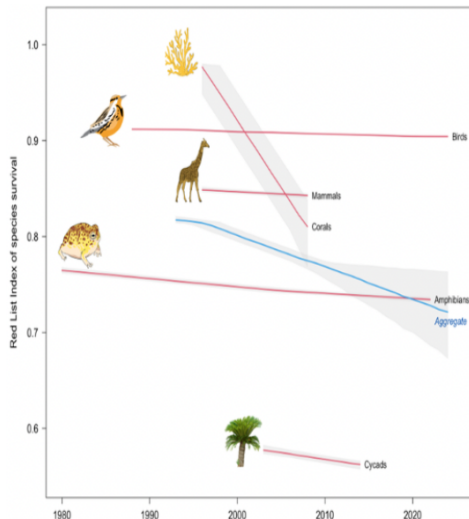
- Measures the average decline in monitored wildlife population size
- Based on the change in abundance in 34,836 populations across 5,495 native species relative to 1970 (1970 = 100%)
- Not globally representative; limited data in the tropics
- Includes only vertebrates (mammals, birds, fish, reptiles, amphibians)
- Does not include insects, corals, fungi, or plants



Source: World Wildlife Fund and Zoological Society of London (2024),
https://www.livingplanetindex.org/latest_results

3. Red List Index (RLI)

- Measures overall extinction risk of species over time
- Available for five taxonomic groups (birds, mammals, amphibians, cycads and corals)
- Based on data from the IUCN Red List
- $RLI = 0$: all species extinct
- Constant RLI: extinction risk unchanged
- Blue line: overall RLI for all taxa combined (Aggregate)



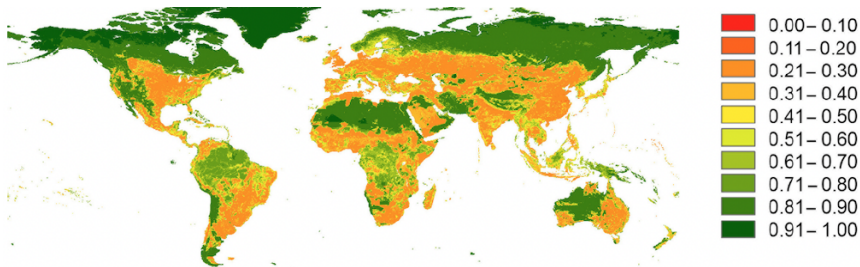
Source: <https://www.iucnredlist.org/assessment/red-list-index>

Biodiversity: Species Indicators

4. Mean Species Abundance (MSA) Indicator of biodiversity intactness, measuring the average abundance of original species relative to their abundance in undisturbed ecosystems

$$\text{MSA} = \frac{1}{S_A} \sum_{i=1}^{S_A} \min\left(\frac{n_i}{n_i^*}, 1\right),$$

n_i abundance of species i in an area, n_i^* abundance of species i in a reference state, S_A number of native species in the area. By construction $\text{MSA} \in [0, 1]$, where 1 represents an undisturbed ecosystem and 0 represents a completely degraded or destroyed ecosystem.

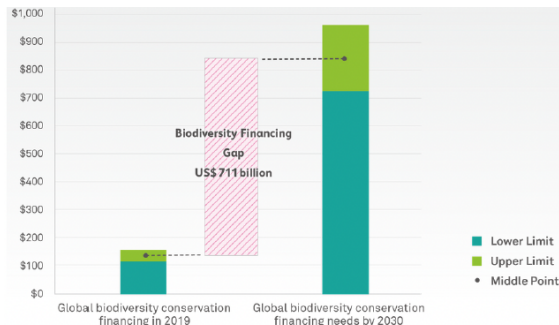


Source: Schipper et al. (2020, Figure 4(a), page 766)

Global Frameworks for Biodiversity Indicators

Convention on Biological Diversity (CBD):

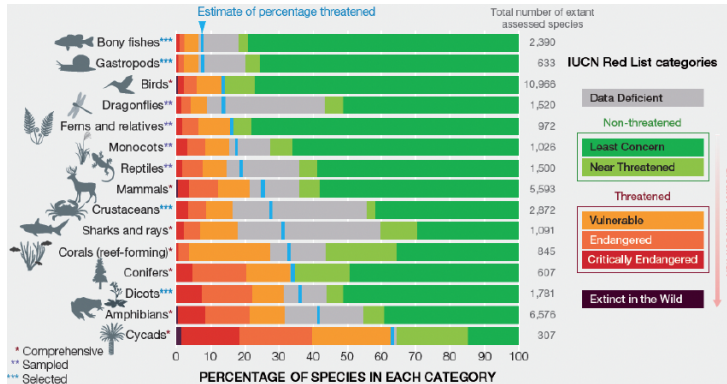
- Adopted at the 1992 Earth summit in Rio de Janeiro, entered into force in 1993
- Objectives:
 - Conservation of biological diversity
 - Sustainable use of its components
 - Fair and equitable sharing of the benefits arising of genetic resources
- COP10 Nagoya (2010): Aichi Biodiversity Targets (2011–2020)
- COP15 Montreal (2022): Kunming–Montreal Global Biodiversity Framework (GBF)
 - Protecting 30% of the Earth's land and marine areas by 2030 (30×30 target)



Global Frameworks for Biodiversity Indicators

Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services (IPBES ~ IPCC)

- 2020: First Global assessment report on biodiversity and ecosystem services
- 2024: Nexus Assessment



Source: IPBES (2019), Global Assessment Report Summary for Policymakers

Consequences of Biodiversity Loss

- **Loss of Ecosystem Stability and Resilience**

Decrease in biodiversity can diminish an ecosystem's ability and resilience to recover from disruptions (climate change, disease outbreaks, invasive species), heightening the risk of ecosystem collapse.

- **Decline in Ecosystem Services**

Impair ecosystem services, leading to a decline in environmental quality. For example, forests act as carbon sinks. Deforestation can massively increase greenhouse gases in the atmosphere, which trap more heat and exacerbate global warming. Other example: pollination.

- **Harm to Human Health**

Humans are dependent on ecosystems' goods and services (fresh water, food, fuel) for well-being and livelihoods; direct impacts on health when ecosystem services no longer adequately meet social needs.

Source: <https://earth.org/what-are-the-consequence-of-biodiversity-loss/>

Objectives of the Lecture

- Environment and Society
- Biodiversity
- **Impact Investing**

For some investors, ESG decisions are driven by **values** (non-pecuniary preferences). For others, ESG decision are driven by **financial value** (risk-return opportunities). Clear identification may be complicated by the fact that ESG investing can also be motivated by a combination of values and value. **Impact investing** refers to “**investments with the intention to generate positive, measurable social and environmental impact alongside a financial return**”. (Global Impact Investing Network, GIIN)

- **Intention to have a positive social or environmental impact** through investments is essential to impact investing.
- **Impact investments are expected to generate a financial return on capital** or, at minimum, a return of capital (“Capital Preservation”).
- **Impact investing is not philanthropy.**

Four core characteristics (GIIN)

Global Impact Investing Network (GIIN)

- **Intentionality:** an impact investor wants to have a positive social or environmental impact through investments.
- **Range of return expectations and asset classes:** impact investments target financial returns from below market (concessionary) to risk-adjusted market rate; across asset classes.
- **Investment with return expectations:** expected to generate a financial return on capital or, at minimum, a return of capital.
- **Impact measurement and management:** commitment to measure and report social/environmental performance; transparency and accountability.

Alternative framework

Intentionality

The intention of the investment to contribute to the generation of a measurable social or environmental benefit

Intentionality

- Thesis
- Strategy
- Governance

Additionality

The positive impact that would not have occurred without this specific investment

Additionality

- Coverage
- Time horizon
- Commitment

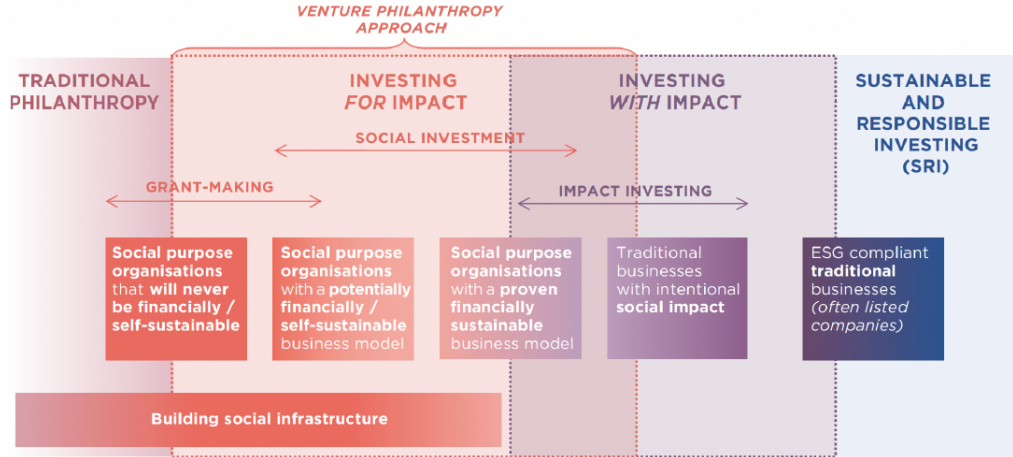
Measurability

The process of measuring the social and/or environmental impact of investments

Measurability

- Metrics
- Transparency
- Remuneration

Impact ecosystem spectrum



Source: Gianoncelli, A. and Gaggiotti, G. (2021), Managing for Impact: The Role of Investors' Networks in Enhancing Appropriate Impact Measurement and Management Practices, Richards, A. and Nicholls, J. (Ed.) Generation Impact, Emerald Publishing Limited, Leeds, pp. 219-233.

Investing WITH impact or FOR impact?

Investing WITH impact

- Need to guarantee some financial return alongside social impact
- Invest in proven solutions and/or organizations with viable business models
- Have access to large pools of resources and scale proven business models

Investing FOR impact

- Support innovative solutions to pressing societal problems
- Take risks that traditional investors are unwilling to take
- Provide in-depth non-financial support and technical assistance

Typology of sustainable investments

	ESG-screened	ESG-managed	Impact-related Investment	
			Impact-Aligned	Impact-Generating
Objective (underlying strategic purpose of investment)	Mitigation of ESG-related risks and/or ethical considerations	Systematic reflection on ESG-related risks and opportunities	Address social and environmental challenges and goals	Actively contributing to social and environmental solutions and transformations
Materiality (measurement of tangible real-world parameters)	Materiality not addressed, i.e., no further detailed description of approach or outputs	Materiality not measured, i.e., only basic description of approach or outputs	Proof of materiality through the assessment of outputs (benchmark analysis or SDG alignment)	Proof of materiality through the measurement of expected and generated impact
General approach (applied investment appraisal)	Any consideration of E, S, or G factors in investment appraisals; typically focusing on exclusion criteria	Comprehensive set of exclusion criteria; at least one further pre-investment decision approach is applied	Comprehensive set of exclusion criteria; sophisticated combination of pre- and post-investment decision approaches	Focus on impact generation by providing additional capital, incorporating forward-looking targets and post-investment decision approaches
Documentation (efforts to increase transparency)	No detailed documentation	Basic description and ideally external verification	Detailed description and external verification	Detailed description and external measurement of impact achievements

Source: Busch, T., Bruce-Clark, P., Derwall, J. et al. (2021), *Impact investments: a call for (re)orientation*. *SN Business and Economics* 1, 33.

Sustainable Development Goals

Most impact investment funds specify the expected social or environmental benefit. For this additionality criterion, they often rely on SDG.

In 2015, all United Nations (UN) members adopted the “2030 Agenda for Sustainable Development”, created 17 world **Sustainable Development Goals (SDGs)**.

The aim of these global goals is “peace and prosperity for people and the planet” while tackling climate change and working to preserve oceans and forests.

Five main topics (5 Ps):

- People: SDG 1, 2, 3, 4, 5
- Prosperity: SDG 7, 8, 9, 10, 11, 12
- Partnership: SDG 17
- Planet: SDG 6, 13, 14, 15
- Peace: SDG 16

Two uses of SDGs:

- SDGs channel capital; motivation is to finance economic growth and improve social situation in poor countries (e.g. microfinance).
- SDGs indicate that the investment is related to this framework; motivation not necessarily to finance growth / improve social conditions in poor countries.

Sustainable Development Goals



Source: <https://www.un.org/fr/teach/SDGs>

Sustainable Development Goals: Progress Assessment

The **SDG index (or overall score)** measures overall progress toward achieving all 17 SDGs. The score can be interpreted as a percentage of SDG achievement. A score of 100 indicates that all SDGs have been achieved.

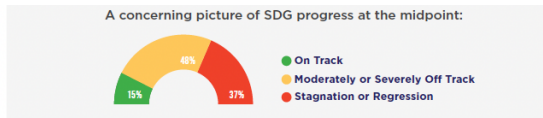
The **spillover index** assesses a country's spillover effects (positive or negative impacts on other countries' SDG achievements).

The 2023 report comes to a pessimistic conclusion about achieving the SDGs by 2030:

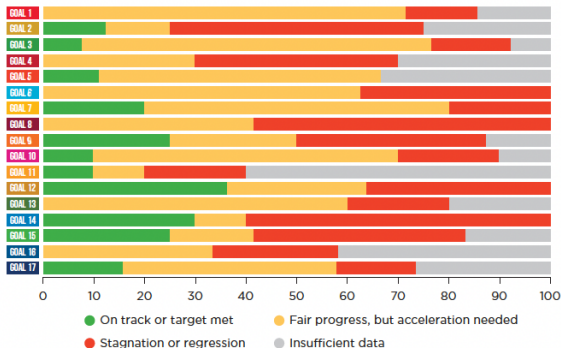
*Halfway to the deadline for the 2030 Agenda, the SDG Progress Report shows **we are leaving more than half the world behind**. Progress on more than 50 per cent of targets of the SDGs is weak and insufficient; on 30 per cent, it has stalled or gone into reverse. These include key targets on poverty, hunger and climate. Unless we act now, the 2030 Agenda could become an epitaph for a world that might have been. UN (2023).*

Sustainable Development Goals

Progress assessment for the 17 SDGs based on assessed targets (2023)



Progress assessment for the 17 Goals based on assessed targets, 2023 or latest data (percentage)

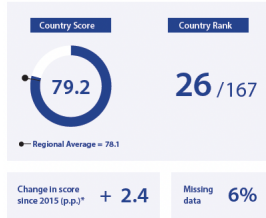


Sustainable Development Goals: Switzerland

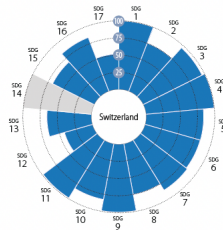
SWITZERLAND

OECD Country

Overall Performance



Average Performance by SDG



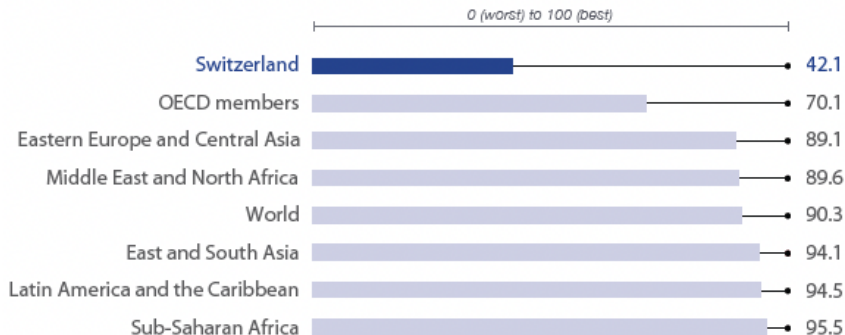
SDG Dashboard and Trends



Source: <https://dashboards.sdgindex.org/profiles/switzerland/indicators>

Sustainable Development Goals: Switzerland

International Spillover Index



Number of Voluntary National Reviews (VNRs)



3

Source: <https://dashboards.sdgindex.org/profiles/switzerland/indicators>

From SDGs to ESG



Source: <https://www.com-circle.com/en/2023/05/05/esg-and-sdgs-whats-the-difference/>

Sources of financing

- **Development Finance Institutions (DFI):** specialized development banks set up to support private sector development in developing countries.
 - Usually majority-owned by national governments
 - Bilateral DFIs
 - Multilateral DFIs (~ multilateral development banks or MDBs)
- **Private equity investors**
- **Bilateral DFIs** are either independent institutions or part of larger bilateral development banks: SIFEM (Switzerland), AFD (France), KfW/DEG (Germany).
- **Multilateral DFIs** are private sector arms of international financial institutions that have been established by one or more country: IFC (International Finance Corporation), EBRD (European Bank for Reconstruction and Development), EIB (European Investment Bank), ADB (Asian Development Bank), AfDB (African Development Bank), IDB (Inter-American Development Bank)

Market for Private Impact Investing

The leverage between private and public capital (blended finance) is insufficient:

Each \$1 of MDB and DFI invested mobilises on average \$0.75 of private finance for developing countries, but this falls to \$0.37 for low-income countries. Expectations that blended finance can bridge the SDG financing gap are unrealistic: 'billions to billions' is more plausible than 'billions to trillions'. (Attridge and Engen, 2019).

In October 2024, GIIN estimated that more than 3907 public and private organizations were managing \$1.571 trillion in impact investing AUM globally as of December 2023.

What about the market for private impact investing?

Geographic breakdown of impact AUM:

- 53% Europe, 35% North America
- 2% Sub-Saharan Africa, 6% East/South/Southeast Asia
- 2% Middle East and North Africa, 1% Latin America, 1% Oceania

Source: GIIN (2024), *Sizing the impact investing market 2024*.

Market for Private Impact Investing

How to compute the AUM of an impact investing fund:

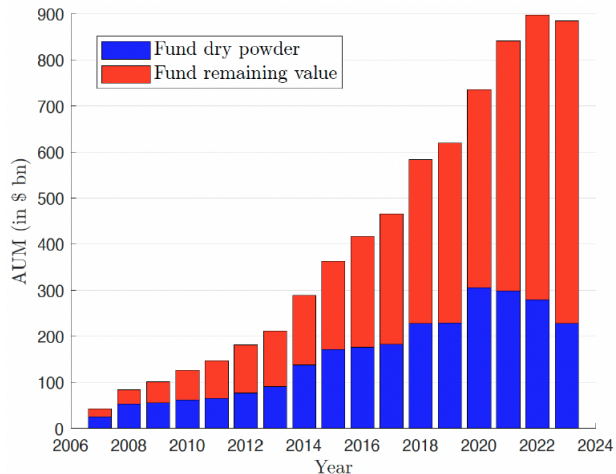
$$\begin{aligned}\text{Current AUM} &= \text{Dry powder} + \text{Remaining value} \\ &= \text{Cumulative capital raised} + \text{Mark-to-market} + \text{Termination value.}\end{aligned}$$

where:

- cumulative capital raised: total amount of money committed by investors to the funds
- mark-to-market: appreciation/depreciation of investments based on current market price
- termination value: value realized from exited investments
- dry powder: uninvested portion of the capital raised
- remaining value: current value of investments still held, including mark-to-market

Market for Private Impact Investing

Size of the impact investing market (AUM in \$ bn)



Source: <https://pitchbook.com>, Roncalli (2025)

Market for Private Impact Investing

Strategy representation of impact investing (as of December 2023)

Strategy	Fund count	Capital raised
Private equity (buyout)	21.90%	14.49%
Venture capital	40.18%	7.03%
(Private) debt	7.16%	6.26%
Real estate	5.80%	3.93%
Real assets ¹	20.55%	66.96%
Other	4.41%	1.33%

Note: Real assets = infrastructure and natural resources.

Source: <https://pitchbook.com>

- Private equity: Equity investment in an impact investment fund
- Venture capital: Equity investment in a community development venture capital fund
- Fixed income: Debt investment in microfinance fund or in a loan fund
- Real assets: Equity investment in a community real estate fund or in a conservation fund
- Direct investment: Debt or equity investment in a private company

Blended Finance

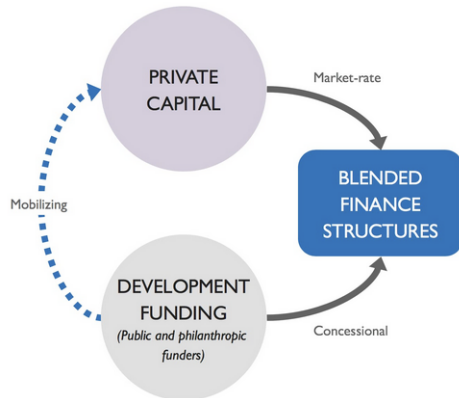
Blended finance is an investment strategy that combines public or philanthropic and private capital to fund projects in emerging and frontier markets.

Blended finance is a structuring approach that allows organizations with different objectives to invest alongside each other while achieving their own objectives (whether financial return, social impact, or a blend of both). The main investment barriers for private investors addressed by blended finance are

- (i) high perceived and real risk and*
- (ii) poor returns for the risk relative to comparable investments.*

Blended finance creates investable opportunities in developing countries which leads to more development impact. Blended finance is not an investment approach, instrument, or end solution. It is also different from impact investing. Impact investing is an investment approach, and impact investors often participate in blended finance structures.

Source: <https://www.convergence.finance/blended-finance>

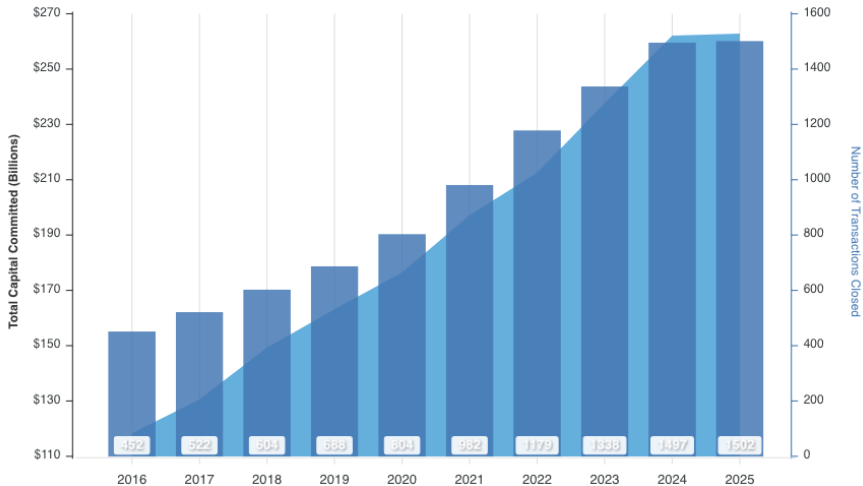


There are four main typical blended finance structures:

- **Concessional capital** Public or philanthropic investors provide funds at below-market rates within the capital structure to reduce the overall cost of capital or to provide an additional layer of protection for private investors
- **Credit enhancing** Public or philanthropic investors provide credit enhancement through guarantees or insurance against specific risks, such as political instability or natural disasters
- **Technical assistance facility (TAF)** Transaction is associated with a grant-funded technical assistance facility that can be utilized pre- or post-investment to strengthen commercial viability and developmental impact
- **Design-stage grants** Transaction design or preparation is funded by grants (including project preparation or design-stage grants)

Blended Finance

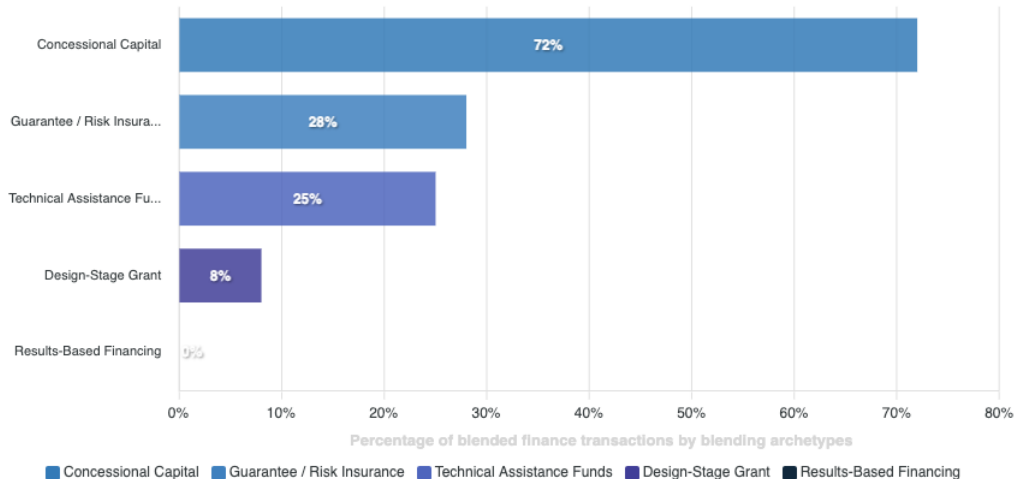
Growth of annual blended finance activities



Source: <https://www.convergence.finance/blended-finance>

Blended Finance

Blended Archetype Frequency



Source: <https://www.convergence.finance/blended-finance>



The Community Investment Note®

A fixed income security that finances solutions to inequality and climate change in communities around the world.



**Consistent
fixed income***



**Measurable social and
environmental returns**



**Low
minimums**



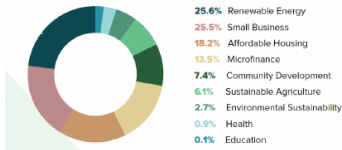
**100% repayment of principal
and interest since 1995***

PORTFOLIO DIVERSIFICATION

Community Investment Note® proceeds are invested in support of mission-driven organizations that advance social, economic, and environmental justice. We invest across nine impact sectors based on the needs and opportunities in communities, as well as investor interest. Rigorous credit and impact risk management has contributed to a less than 1% loss rate in this portfolio since 1995.

See our [Portfolio List](#) for impact stories and photos.

IMPACT SECTORS



WE DELIVER DEEP COMMUNITY IMPACT

SELECT METRICS FROM OUR [2024 IMPACT REPORT](#):

163 mil

end clients served

78%

of end clients are women

72%

of end clients are people of color

6.4 mil

metric tons CO2 reduced

1.3 mil

jobs created or retained

19,154

affordable homes created or preserved

32.2 mil

people with improved access to clean energy

8.1 mil

small businesses financed